

		2004, to December 31, 2009]; <i>Berhanu v. Metzger</i> (1992) 12 Cal.App.4th 445, 447.) The court finds the fair market value of the property to be \$1,274,000 based on the appraisal by Emanuel Rubin. (ROA 77, Ex. G.) There exists a first lien on the property held by NewRez LLC dba Shellpoint Mortgage Servicing, with a current payoff amount of \$239,595.74. (ROA 96, Ex. O.) The court finds, by a preponderance of the evidence, there is sufficient equity in the home to cover all liens and encumbrances which are senior to Creditor's abstract of judgment plus the conceded value of the homestead exemption. (Code Civ. Proc., § 704.780. subd. (b).) Creditor is ordered to submit a proposed order for sale of dwelling consistent with this ruling that includes all statutorily required information, including but not limited to, the amount of the proceeds of the sale that is to be distributed to each person having a lien or encumbrance on the dwelling and the name and address of each such person. (Code of Civ. Proc., § 704.780, subd. (b).) Creditor's counsel is ordered to give notice of this ruling.
4.	VFS, LLC vs. AM Bakersfield, LLC 2025-01487067	Before the court is the continued hearing on the order to show cause why an order for sale of dwelling should not issue relating to property located at 3111 Gardenia Lane, Yorba Linda, California 92886 and owned by judgment debtor Arpit Patel (Debtor) and his spouse, Yesha Patel, as husband and wife and joint tenants. The order to show cause was entered on June 4, 2026, based on the application of judgment creditors VFS, LLC and VFSOX, LLC (collectively, Creditors). The court previously found Creditor's application satisfied the statutory requirements, and therefore the court issued the order to show cause. (Code Civ. Proc., §§ 704.750, 704.760, 704.770.) At the prior hearing on August 6, 2026, the court noted it was now up to the court to determine whether Debtor is entitled to a homestead exemption for the property, if so, the amount of that exemption, the property's fair market value, the amount of the outstanding liens, and whether Debtor has sufficient equity in the property. The court further noted the parties did not dispute Debtor and his spouse lived in the home and were entitled to the homestead exemption in the amount of \$722,150. The court further determined that the outstanding balance of the first lien on the property held by Change Lending, LLC is \$3,064,745.43.

	The remaining disputed issues include the current fair market value of the property, and the existence and amount of the second lien. The court also lacked other pertinent information including the status of foreclosure and whether any outstanding real property tax liens existed on the property. The court continued the hearing to today's date for the parties to provide further information regarding these issues. Creditors submitted an updated independent appraisal report for the dwelling based on comparable sales and property characteristics. The appraisal is dated August 19, 2026, and values the dwelling at \$3,950,000. Debtor also submitted an independent appraisal report dated August 19, 2026, also based on comparable sales and property characteristics, but values the dwelling at \$3,880,000. It appears the appraisers used different comparable homes in determining the market value. The court determines the property's fair market value is between \$3,880,000 and \$3,950,000, and the court need not decide between these two valuations to determine whether to issue an order for sale. The second lien or deed of trust is held by Jiten Gandhi, as trustee of the Gandhi Family Trust (Gandhi). Gandhi has shown the original promissory note dated December 28, 2021, was for the principal amount of \$300,000, secured by a second deed of trust dated June 14, 2022. The promissory note was subsequently amended on August 10, 2023, to add \$200,000 to the principal. The second deed of trust dated June 14, 2022, was recorded on July 25, 2024 – prior to recordation of Creditors' abstract of judgment on July 10, 2025. Gandhi contends the outstanding balance of the note is \$392,530.74. Though the interest calculations appear low and not made in accordance with the terms of the amended note, the court determines the amount of the second lien to be no less than \$392,530.74. Based on the evidence submitted, the court finds there will be insufficient equity in the property to satisfy any part of Creditors' judgment. Even using the highest value offered by Creditor in the amount of \$3,950,000, when the first deed of trust of \$3,064,745.43 (which may be even higher by this point), the homeowner's exemption of \$722,151, and the amount of the second deed of trust of \$392,530.74, there is no equity to pay any portion of the judgment. Indeed, the equity is negative \$229,427.17. Even if the court uses the principal amount only of the second deed of trust there is still negative equity in the
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		property and that negative equity would only grow if the court were to use the appraisal offered by Debtor. The court acknowledges Creditor raises a number of questions regarding the validity of the second deed of trust. Nonetheless, as the court pointed out in its August 6, 2026 ruling, the court "lacks the authority to evaluate the validity of any recorded lien in connection with these proceedings. Even an apparently fraudulent lien must be provided for in the order of sale if it is superior to the judgment creditor's lien. The creditor's recourse is to file a fraudulent conveyance action for a determination the lien in void." (See Ahart, Cal. Prac. Guide: Enf. Judgment & Debts (The Rutter Group 2026) ¶9:1156, citing <i>Kahn v. Berman</i> (1988) 198 Cal.App.3d 1499, 1509, fn. 11.) The court also must keep in mind the ongoing nonjudicial foreclosure proceedings that have been initiated by the holder of the first deed of trust. Based on the foregoing, the court concludes there is insufficient equity in the property and therefore declines to issue an order for sale of the dwelling. Before finalizing the court's ruling, the court notes neither Debtor nor Indra M. Gandhi (counsel for holder of the second deed of trust, Jiten Gandhi, and Sanjay Shah) filed any proof of service showing the declarations and other documents they filed after the August 6, 2026 hearing were served on Creditor. As such, the court will need to confirm service of those documents. <u><i>Evidentiary Objections:</i></u> Creditors filed evidentiary objections to the declarations of Jiten Gandhi and Sanjay Shah filed on behalf of Debtor. As to the objections to the Gandhi declaration, objection numbers 1-3, 6-9, 13, and 15 are OVERRULED and objection numbers 4, 5, 10-12, and 14 are SUSTAINED. As to the objections to the Sanjay declaration, objection numbers 1-6 are OVERRULED. Creditors' counsel is ordered to give notice of this ruling.
5.	<i>E Mortgage Capital, Inc. vs. Perez</i> 2021-01213474	Before the court is the motion by attorney Patricia Rodriguez to be relieved as counsel of record for defendant Anthony Perez. As more fully set forth below, the motion is DENIED WITHOUT PREJUDICE. Initially, the court notes, on January 23, 2023, the plaintiffs filed a request for dismissal of all parties and all causes of action without prejudice. (ROA 167.) The court's file does not show any subsequent activity in the case other than the instant motion to be relieved. It therefore unclear what